

CARBACID INVESTMENTS LIMITED

UNAUDITED CONSOLIDATED RESULTS

FOR THE SIX MONTHS ENDED

31ST JANUARY 2014

CARBACID INVESTMENTS LIMITED
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR 6 MONTHS ENDED 31 JANUARY 2014

	6 Months to 31 January 2014 <u>Shs '000</u>	6 Months to 31 January 2013 <u>Shs '000</u>
TURNOVER	473,761	546,713
COST OF SALES	(180,436)	(222,197)
GROSS PROFIT	293,325	324,516
OTHER OPERATING INCOME	12,105	12,103
ADMINISTRATIVE EXPENSES	(46,017)	(54,315)
OPERATING PROFIT	259,413	282,304
FINANCE INCOME	39,509	47,968
FOREIGN EXCHANGE DIFFERENCES	2,958	897
ADJUSTMENT ON REVALUATION OF EQUITY INVESTMENTS	15,907	27,295
PROFIT BEFORE TAX	317,787	358,464
TAXATION	(82,625)	(94,233)
PROFIT AFTER TAX	235,162	264,231
PROPOSED DIVIDEND PER SHARE (restated)	0.40	0.60
EARNINGS PER SHARE (restated)	0.92	1.55
No.of Shares in issue (restated)	254,851,988	169,901,325

CARBACID INVESTMENTS LIMITED
UNAUDITED CONSOLIDATED STATEMENT OF FINANCIAL POSITION
FOR SIX MONTHS ENDED 31ST JANUARY 2014

	31st January 2014 (Unaudited) Shs '000	31st January 2013 (Unaudited) Shs '000
ASSETS		
Non Current Assets		
Property, Plant & Equipment	1,022,538	863,533
Investment Property	60,000	60,000
Operating Lease Prepayment	64,912	68,617
Equity Investments	194,657	134,252
Bonds & Treasury Bills	187,500	218,750
	1,529,607	1,345,152
Current Assets		
Inventories	30,812	32,639
Trade & Other Receivables	243,681	206,395
Short Term Deposits	564,466	480,951
Bank & Cash Balances	69,945	151,767
Taxation Recoverable		
	908,904	871,752
Total Assets		
	2,438,511	2,216,904
EQUITY & LIABILITIES		
Share Capital & Reserves		
Share Capital	254,853	169,901
Revaluation Surplus	209,492	237,410
Revenue Reserves	1,358,144	1,143,518
Surplus for the 6 months	235,162	264,231
	2,057,651	1,815,060
Non Current Liabilities		
Deferred Income Taxes	187,789	209,880
Current Liabilities		
Trade & Other Payables	86,717	79,197
Unclaimed dividends	23,729	18,534
Taxation Payable	82,625	94,233
	193,071	191,964
Total Equity & Liabilities		
	2,438,511	2,216,904

CARBACID INVESTMENTS LIMITED

**UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR SIX MONTHS ENDED 31ST JANUARY 2014**

	<u>Share Capital Shs '000</u>	<u>Revaluation Surplus Shs '000</u>	<u>Retained Earnings Shs '000</u>	<u>Total Shs '000</u>
As at 31st July 2013	169,902	209,492	1,545,035	1,924,429
Capitalisation of retained earnings	84,951		(84,951)	-
Net Profit for the period			235,162	235,162
Final Dividend Paid			(101,940)	(101,940)
As At 31st January 2014	<u>254,853</u>	<u>209,492</u>	<u>1,593,306</u>	<u>2,057,651</u>

CARBACID INVESTMENTS LIMITED

**UNAUDITED CONSOLIDATED CASH FLOW STATEMENT
FOR SIX MONTHS ENDED 31ST JANUARY 2014**

	6 Months to 31 Jan 2014 (Unaudited) Shs '000	6 Months to 31 Jan 2013 (Unaudited) Shs '000
<u>OPERATING ACTIVITIES</u>		
Cash Generated from Operations	298,635	359,710
Interest Received	39,509	47,968
Taxation Paid	(45,698)	(87,192)
Net Cash Generated from Operating Activities	<u>292,446</u>	<u>320,486</u>
<u>INVESTING ACTIVITIES</u>		
Purchase of Plant & Equipment	(263,563)	(31,789)
Proceeds from Redemption of Corporate Bonds	15,625	15,625
Purchase of Equity Investment	(6,159)	1,103
Sale / (Purchase) of Commercial Paper	-	-
Dividends Received	1,068	4,763
Net Cash Used in Investing Activities	<u>(253,029)</u>	<u>(10,298)</u>
<u>FINANCING ACTIVITIES</u>		
Dividends Paid	<u>(101,940)</u>	<u>(101,940)</u>
INCREASE / (DECREASE) IN CASH & CASH EQUIVALENTS	<u>(62,523)</u>	<u>208,248</u>
CASH & CASH EQUIVALENTS AT THE START OF THE PERIOD	696,934	424,470
CASH & CASH EQUIVALENTS AT THE END OF THE PERIOD	<u><u>634,411</u></u>	<u><u>632,718</u></u>
Deposits	564,466	480,951
Cash & Bank	<u>69,945</u>	<u>151,767</u>
TOTAL	<u><u>634,411</u></u>	<u><u>632,718</u></u>

CARBACID INVESTMENTS LIMITED

UNAUDITED CONSOLIDATED RESULTS FOR THE SIX MONTHS ENDED 31ST JANUARY 2014

Income Statement		Cash Flow Statement for the six months ended 31st January 2014	
	6 months to 31 January 2014 Shs '000	6 months to 31 January 2013 Shs '000	6 months to 31 January 2014 Shs '000
Turnover	<u>473,761</u>	<u>546,713</u>	<u>424,470</u>
Operating profit	259,413	282,304	320,486
Finance Income – Net	39,509	47,968	(10,298)
Foreign Exchange Differences	2,958	897	(101,940)
Revaluation of equity investments	<u>15,907</u>	<u>27,295</u>	<u>632,718</u>
Profit before taxation	317,787	358,464	
Taxation charge	<u>(82,625)</u>	<u>(94,233)</u>	
Net Profit After Tax	<u>235,162</u>	<u>264,231</u>	
Earnings per share – Basic & Diluted	<u>Shs 0.92</u>	<u>Shs 1.55</u>	
Statement of Financial Position			
	As at 31 January 2014 Shs '000	As at 31 January 2013 Shs '000	
ASSETS			
Non Current Assets	1,022,538	863,533	
Property, plant and equipment	60,000	60,000	
Investment property	64,912	68,617	
Operating lease prepayment	194,657	134,252	
Equity investments	187,500	218,750	
Bonds and treasury bills	<u>1,529,507</u>	<u>1,345,152</u>	
Working Capital	908,904	871,752	
Current assets	<u>(193,071)</u>	<u>(191,964)</u>	
Current liabilities	<u>715,833</u>	<u>679,788</u>	
Net working capital	<u>2,245,440</u>	<u>2,024,940</u>	
Total net assets			
EQUITY AND LIABILITIES			
Share Capital and Reserves	254,853	169,901	
Share capital	209,492	237,410	
Capital reserves	1,358,144	1,143,518	
Revenue Reserves	<u>235,162</u>	<u>264,231</u>	
Surplus for the period	<u>2,057,651</u>	<u>1,815,060</u>	
Non current liabilities	187,789	209,880	
Deferred income taxes	<u>2,245,440</u>	<u>2,024,940</u>	
Total equity and liabilities			

	6 months to 31 January 2014 Shs '000	6 months to 31 January 2013 Shs '000
Balance at 31st July 2013	696,934	424,470
Net cash generated from operating activities	292,446	320,486
Net cash used in Investing activities	(253,029)	(10,298)
Net cash used in Financing activities	<u>(101,940)</u>	<u>(101,940)</u>
Balance at 31st January 2014	<u>634,411</u>	<u>632,718</u>

Statement of Changes in Equity for the six months ended 31st January 2014				
	Share Capital Shs '000	Capital Reserves Shs '000	Revenue Reserves Shs '000	Total Shs '000
As at 31st July 2013	169,902	209,492	1,545,035	1,924,429
Net Profit for the period	-	-	235,162	235,162
Final Dividend Paid	-	-	(101,940)	(101,940)
Capitalisation of Retained Earnings	84,951	-	(84,951)	nil
As at 31st January 2014	<u>254,853</u>	<u>209,492</u>	<u>1,593,306</u>	<u>2,057,651</u>

Results for the six months ended 31st January 2014

The Board of Directors of Carbacid Investments Ltd are pleased to announce its unaudited half year results for the six months ended 31st January 2014.

The results for the period show a 13% drop in turnover and a corresponding 11% drop in net earnings. The exceptional demand experienced last year in the Southern Africa market for Carbon Dioxide has eased resulting in reduced turnover this year. Increased cost of electricity and the new mining royalties resulted in pressure on margins.

During the current financial year we have committed investments of nearly KShs 300 million in a new plant, machinery, equipment and transport. These investments will ensure that we improve production efficiency and also maintain the highest quality of products.

Interim Dividend

The Directors of the Company have resolved to pay an interim dividend of cents 40 per share of KSh 1/- each (2013 KShs 3/- per share of KShs 5/- each) for the year ending 31st July 2014 on or about 7th May 2014 to shareholders on the register at the close of business on 10th April 2014.

Closure of Register

Notice is hereby given that the register of members will be closed from 11th April 2014 to 18th April 2014 for the purpose of preparation of a dividend list. Any correspondence or documents for registration should be received by 4.30 p.m., on 10th April 2014 and may be hand delivered or posted to the Registered Office at the following address:-

Axis Kenya, Empress Plaza, 1st Floor, Jalaram Road/ Ring Road Parklands, Westlands, P O Box 764, Nairobi, Sait Centre, 00606

By Order of the Board,

N P Kohari,
Secretary,
18th March 2014